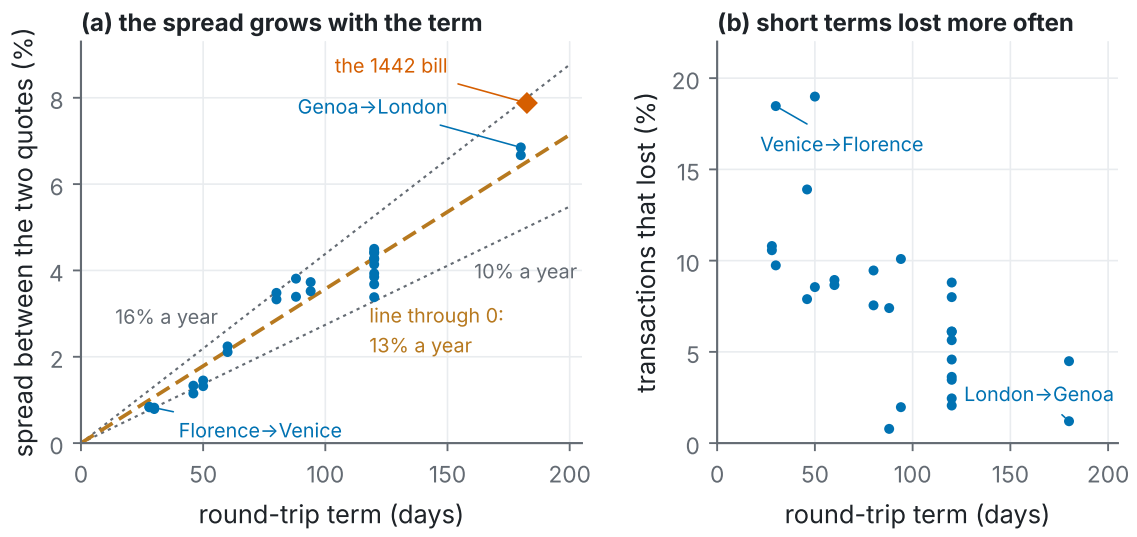
(a) the spread grows with the term
the 1442 bill
Genoa→London
16% a year
10% a year
line through 0:
13% a year
Florence→Venice
spread between the two quotes (%)
round-trip term (days)
(b) short terms lost more often
Venice→Florence
London→Genoa
transactions that lost (%)
round-trip term (days)